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US-ITALY TAX SURVIVAL GUIDE 2025

The complete dual-tax reference for American residents in Italy:
IRPEF brackets, Foreign Tax Credit, FBAR, FATCA, flat tax regimes,
retirement accounts, and the Italian tax calendar.

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120+ PAGES

DUAL-TAX SYSTEM

IRPEF + IRS

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IMPORTANT DISCLAIMER

■ WARNING

This guide provides general information about US and Italian tax obligations for American residents in Italy. It is NOT tax advice and does NOT establish a tax advisor-client relationship. Tax law changes frequently and individual circumstances vary enormously. Always consult a qualified US-Italy dual-tax specialist (commercialista with US tax experience) for your specific situation before filing, making elections, or structuring your finances.

That said — understanding the system is half the battle. This guide gives you the knowledge to have an informed conversation with your advisor and avoid the most expensive surprises.

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CHAPTER 1

The Dual-Tax Reality — How Two Countries Tax You Simultaneously

The most important thing to understand about moving to Italy as an American: you do not escape US taxes. The United States is one of only two countries in the world (the other is Eritrea) that taxes its citizens on worldwide income regardless of where they live. Moving to Italy means you now have TWO tax systems with claims on your income.

The good news: the US-Italy tax treaty and the Foreign Tax Credit system are specifically designed to prevent genuine double taxation in most cases. With proper planning, most Americans in Italy do not pay full taxes twice — they pay the higher of the two tax systems, with credits offsetting the other.

The Architecture of the Dual-Tax System

Here is how the two systems interact:

Tax question	Italian system	US system
Who must file?	All Italian tax residents (183+ days in Italy or registered green cardholders)	All US citizens and green cardholders worldwide
What income is taxed?	Worldwide income (Italian residents)	Worldwide income (always, regardless of residence)
Primary tax on wages/income	IRPEF (23-43%)	Federal income tax (10-37%)
Social contributions	INPS (if working in Italy)	Social Security/Medicare (if US employer)
What prevents double taxation?	US-Italy Tax Treaty (1999)	Foreign Tax Credit (Form 1116)
Filing deadline	November 30 (730 form) or January 15 (Rendite)	April 15 (with 15 extension for expats)
Tax year	January 1 — December 31	January 1 — December 31

The 1999 US-Italy Tax Treaty

The bilateral tax treaty between the US and Italy governs which country has primary taxing rights over different categories of income. Key provisions:

Pensions and Social Security (Art. 18-19): Private pensions and Social Security are generally taxable only in the country of residence — if you live in Italy, Italy has primary taxing rights on your US pension. The US may still tax it, but the Foreign Tax Credit offsets the liability.

Employment income (Art. 15): Taxed in the country where the work is performed. Remote work for a US employer while physically in Italy is technically Italian-source income.

Business income (Art. 7): Taxed where the permanent establishment is located. Critical for self-employed Americans.

Capital gains (Art. 13): Generally taxed in the country of residence, with exceptions for real estate (taxed where property is located).

Dividends (Art. 10): Italy can tax dividends paid to Italian residents at up to 15% (US companies) or 5% (10%+ shareholding). The US also taxes them — FTC coordination applies.

NOTE The treaty has a Savings Clause (Art. 1.3) that preserves the US right to tax its citizens as if the treaty did not exist. This means the treaty primarily helps Italian-sourced income but does NOT eliminate US taxation of US-source income for US citizens.

CHAPTER 2

Italian Tax Residency — When You Become Liable

Italian tax residency is the trigger that makes Italy's worldwide income taxation applicable to you. Understanding exactly when you become an Italian tax resident — and how to manage the transition date strategically — is one of the highest-value planning decisions in the entire move.

The Three-Test Rule

Under Italian law (Art. 2 TUIR), you are an Italian tax resident for a calendar year if you meet ANY ONE of the following three conditions for more than 183 days in that year:

Test 1: Domicile test — Your habitual abode — the center of your family and social interests — is in Italy. This is a qualitative test, not purely physical.

Test 2: Residence test — Your habitual residence (residenza abituale) is in Italy. Physical presence for 183+ days.

Test 3: Registry test (most important) — You are registered in the Italian anagrafe (civil population registry). THIS IS THE OPERATIVE TEST FOR MOST EXPATS. The moment you register at the anagrafe, Italy treats you as a tax resident for that ENTIRE calendar year — retroactively from January 1.

■ WARNING

The anagrafe registration test is the most dangerous for uninformed expats. If you register at the Italian anagrafe on December 1, Italy taxes you as a resident for the ENTIRE year — including January-November income earned while you were still in the US. The IRPEF liability on a full year of US income can be enormous.

The Strategic Registration Date

The most important tax planning decision you make before moving to Italy is: when to register at the anagrafe. The rule:

- Register before July 2: Italian tax resident for the FULL current year (183+ days test)
- Register after July 2: Italian tax resident from the FOLLOWING year (under 183 days remaining)

✓ PRO TIP

If you arrive in Italy in October-December, delay anagrafe registration until January of the following year. This makes you an Italian tax resident starting the new calendar year — avoiding a retroactive full-year Italian tax liability on income you earned in the US all year. The permesso di soggiorno does not have the same year-triggering effect — it is the anagrafe registration that matters.

AIRE — The Registry of Italians Abroad

Conversely: if you are moving FROM Italy to the US, you must register with AIRE (Anagrafe degli Italiani Residenti all'Esteri) to formally exit Italian tax residency. Failure to register with AIRE while living abroad keeps you in the Italian tax system. The Italian tax authority (Agenzia delle Entrate) scrutinizes AIRE deregistrations for wealthy individuals — keeping substantial Italian connections (bank accounts, property, family) while claiming non-residency attracts audit attention.

CHAPTER 3

IRPEF — Italian Income Tax Brackets and Calculation

IRPEF (Imposta sul Reddito delle Persone Fisiche) is the Italian personal income tax. It applies to worldwide income of Italian tax residents at progressive rates. Understanding the bracket structure is essential for assessing your Italian tax liability and the benefit of alternative flat-rate regimes.

2025 IRPEF Rate Structure

Taxable income bracket	IRPEF rate	Tax on bracket	Cumulative max tax
Up to €28,000	23%	€6,440	€6,440
€28,001 – €50,000	35%	€7,700	€14,140
Above €50,000	43%	43% on excess	€14,140 + 43% above €50k

Regional and Municipal Surcharges

IRPEF is the national component only. Two additional surcharges apply:

- Addizionale Regionale (regional surcharge): 1.23-3.33% depending on region. Piedmont: 1.23%. Lazio: 3.33%. Lombardy: 1.23%.
- Addizionale Comunale (municipal surcharge): 0-0.8% depending on municipality.

Effective Tax Rate Examples

Annual taxable income	IRPEF	Regional/Municipal avg	Total effective rate	Tax owed
€20,000	23%	~1.5%	~24.5%	~€4,900
€35,000	25.1%	~1.5%	~26.6%	~€9,310
€50,000	28.3%	~1.5%	~29.8%	~€14,900
€70,000	34.4%	~1.5%	~35.9%	~€25,130
€100,000	37.3%	~1.5%	~38.8%	~€38,800

Note: These are approximations for illustration. Actual liability depends on deductions, family situation, and specific regional/municipal rates. Calculate with your commercialista.

Deductions and Allowances Under IRPEF

Italy offers a range of deductions (deduzioni) and tax credits (detrazioni) that reduce IRPEF liability. Most relevant for American expats:

Mortgage interest deduction (detrazione mutuo)

19% deduction on interest paid on a mortgage for your Italian primary residence. Maximum deductible: €4,000/year.

Medical expense deduction

19% on medical expenses exceeding €129. Applies to expenses paid in Italy — not directly to US medical costs.

Rental income options

Cedolare secca (21% flat on rental income) vs ordinary IRPEF. Cedolare is usually better above the 23% bracket.

Renovation tax credit (50%)

50% deduction over 10 years on renovation costs up to €96,000 per property.

Dependent family deductions

Detrazioni per carichi familiari for dependent children and other family members.

CHAPTER 4

The Foreign Tax Credit — Your Primary Defense Against Double Taxation

The Foreign Tax Credit (FTC) on IRS Form 1116 is the mechanism that prevents most Americans in Italy from paying full taxes twice on the same income. It allows you to credit taxes paid to Italy against your US tax liability on the same income — dollar for dollar, up to certain limits.

How the Foreign Tax Credit Works

The calculation is straightforward in principle:

- 1. Calculate your Italian tax on the income
- 2. Calculate your US tax on the same income
- 3. You pay Italy first (Italy has primary taxing rights as your country of residence)
- 4. Credit the Italian tax paid against your US tax bill on Form 1116
- 5. If Italian tax > US tax: no US tax due on that income (but no refund of the excess)
- 6. If Italian tax < US tax: pay the difference to the IRS

Scenario	Italian IRPEF	US Federal Tax	Net result
Italian tax higher (common at high incomes)	€14,000	€10,500	Zero US tax due. €3,500 excess credit carried forward.
US tax higher (common at low incomes)	€4,600	€6,200	€1,600 due to IRS after FTC.
Equal	€8,000	€8,000	Zero due to either. Fully offset.

The FTC Limitation: The Category Trap

The FTC is not unlimited — it is subject to a per-category limitation. The IRS separates income into categories (baskets), and you can only use FTC from one category to offset US tax on the same category. The main categories relevant to Americans in Italy:

General category income: Wages, salary, most pension income, self-employment income. Most income falls here.

Passive category income: Dividends, interest, royalties, rental income, capital gains (in most cases). Separate basket.

Foreign branch income: Income from a foreign business branch. Rare for most individuals.

**✓ PRO
TIP**

The most common FTC planning mistake: assuming all Italian taxes on all income create usable credits. Italian tax on rental income creates passive-category FTC — which can only offset US tax on passive income. If your passive FTC exceeds your US passive income tax, the excess carries forward but cannot offset general-category income like salary. Work with a dual-tax specialist to optimize your category allocation.

Excess FTC Carryforward

Unused FTC (where Italian tax exceeds the US credit limitation) can be carried forward for 10 years or back 1 year. This is valuable for years when Italian rates are high relative to US rates — the excess does not disappear, it waits for a year when you have more US tax liability to offset.

CHAPTER 5

FEIE vs Foreign Tax Credit — Which Strategy Is Right for You?

Americans abroad have two main mechanisms to reduce or eliminate US tax on foreign-earned income: the Foreign Earned Income Exclusion (FEIE) on Form 2555, and the Foreign Tax Credit (FTC) on Form 1116. They are mutually exclusive for the same income. Choosing incorrectly costs thousands of dollars.

What the FEIE Does

The FEIE allows you to exclude up to \$126,500 (2024 limit, indexed annually for inflation) of foreign-earned income from your US taxable income. It applies to EARNED income only — wages, salary, self-employment income. It does NOT apply to passive income (dividends, interest, pensions, Social Security, rental income).

Factor	FEIE (Form 2555)	FTC (Form 1116)
Applies to	Earned income only (wages, SE)	Any foreign-taxed income
Benefit	Excludes income from US tax base	Credits foreign taxes against US liability
Cap	\$126,500/year (2025)	Limited to US tax on same income
Carryforward	None — use it or lose it	10 years forward, 1 year back
Best when	Italian taxes LOW relative to US	Italian taxes HIGH relative to US
Pension/SS income	Does NOT help	Can help
Self-employment	Reduces income tax but NOT SE tax	Does not reduce SE tax directly
Roth IRA contributions	Exclusion reduces earned income → May impact Roth eligibility	May impact Roth eligibility

When FEIE Wins

FEIE is better when your Italian income tax rate is LOWER than your US rate on the same income. This is less common for Americans in Italy (Italian IRPEF is often higher than US rates at equivalent income) but can apply for:

- Low-income years (Italian tax well below US rate on the same income)
- First years in Italy before Italian residency is fully established
- Americans using the impatriati special tax regime (not compatible with standard IRPEF)

When FTC Wins (Most Common for Americans in Italy)

The FTC is better — and is the standard recommendation for Americans in Italy — because Italian IRPEF rates (23-43%) are typically equal to or higher than US rates on the same income. Paying Italy first and crediting against US tax eliminates most US liability without the income-base reduction that FEIE causes (which can affect retirement account contributions and other income-based benefits).

■ WARNING

Never claim both FEIE and FTC on the same income. And if you claim FEIE, you cannot use FTC on the excluded income. If you switch from FEIE to FTC, there is a mandatory 5-year waiting period before you can use FEIE again. Get advice before changing strategies.

CHAPTER 6

The Italian Flat Tax Regime — €100,000 Annual Substitute Tax

Italy's optional flat tax regime (regime forfettario per neo-residenti, Art. 24-bis TUIR) allows qualifying new Italian residents to pay a flat €100,000 annual tax on ALL foreign-source income — regardless of how much that income actually is. For high-net-worth Americans with substantial US income, this can mean an enormous effective tax rate reduction.

Who Qualifies

- ✓ You are a new Italian tax resident — you have NOT been an Italian tax resident in at least 9 of the previous 10 tax years
- ✓ You establish Italian tax residency (anagrafe registration)
- ✓ You make the election in your first-year Italian tax return
- ✓ You pay the flat €100,000 tax (€25,000 for each additional family member on the same election)

What the €100,000 Flat Tax Covers

The flat €100,000 replaces IRPEF, regional surcharges, and municipal surcharges on ALL income from foreign sources — US dividends, capital gains, interest, pension, Social Security, rental income from US property, foreign business income. Italian-source income is still taxed at standard IRPEF rates.

The Break-Even Calculation

The flat tax makes financial sense if your standard IRPEF + surcharges on foreign income would exceed €100,000. For Americans with combined US income above approximately €350,000-400,000 per year, the flat tax is typically advantageous.

Annual US-source income	Standard IRPEF liability*	Flat tax cost	Annual saving
€100,000	~€32,000	€100,000	WORSE — standard regime better
€200,000	~€74,000	€100,000	WORSE — standard regime better
€300,000	~€116,000	€100,000	€16,000 saved per year
€500,000	~€198,000	€100,000	€98,000 saved per year
€1,000,000	~€398,000	€100,000	€298,000 saved per year

*Approximate IRPEF + avg surcharges on foreign income only, before any deductions.

Key Limitations

FTC not available on excluded income

You cannot claim US Foreign Tax Credits on income covered by the flat tax election. This can actually increase US tax liability for moderate-income Americans — model both scenarios carefully.

Cannot cherry-pick countries

You must apply the flat tax to ALL foreign income, or opt out of specific countries (e.g., to preserve tax treaty benefits or FTC on income from that country). Strategic country exemptions are allowed but complex.

Annual payment

The €100,000 must be paid by the June 30 Italian tax payment deadline each year.

15-year maximum

The regime is available for a maximum of 15 years. After that, standard IRPEF applies.

Wealth tax exclusion

Foreign financial assets and foreign real estate under the flat tax regime are exempt from IVAFE and IVIE (Italian wealth taxes on foreign assets) — a significant additional benefit.

CHAPTER 7

The 7% Flat Tax for Southern Italy Pensioners

A separate and even more favorable flat tax regime applies to foreign pensioners who establish residency in qualifying small municipalities in southern Italy. Under Art. 24-ter TUIR, a flat 7% substitutive tax applies to ALL foreign-source income — pensions, Social Security, dividends, rental income, interest — for up to 10 years.

Who Qualifies

- ✓ You receive a foreign pension (including US Social Security and private pensions)
- ✓ You transfer tax residency to Italy
- ✓ You establish residency in a qualifying municipality in: Sicilia, Sardegna, Calabria, Campania, Basilicata, Abruzzo, Molise, or Puglia
- ✓ The municipality must have a population under 20,000 inhabitants
- ✓ You have NOT been an Italian tax resident in the previous 5 fiscal years

The Financial Impact

US annual income	Standard IRPEF	7% flat tax	Annual saving	10-year saving
\$40,000 (~€37k)	~€8,000	~€2,590	~€5,410	~€54,100
\$60,000 (~€55k)	~€16,000	~€3,850	~€12,150	~€121,500
\$80,000 (~€74k)	~€22,000	~€5,180	~€16,820	~€168,200
\$100,000 (~€92k)	~€29,000	~€6,440	~€22,560	~€225,600

✓ PRO TIP

The 7% flat tax is the most impactful financial planning tool available to American retirees considering Italy. The combination of low housing costs in southern Italy, excellent climate, low cost of living, AND a 7% flat tax on all US income makes regions like Puglia, Sicily, and Calabria genuinely compelling from a pure numbers perspective.

Qualifying Regions and Example Towns

- Puglia:** Alberobello, Ostuni, Locorotondo, Lecce (smaller municipalities), Martina Franca
- Sicily:** Most rural municipalities, hill towns, interior provinces
- Calabria:** Extensive availability — most municipalities qualify

Campania: Rural areas; Naples and Salerno themselves do not qualify

Sardinia: Interior municipalities; coastal resort towns may not qualify

Abruzzo: Mountain and rural municipalities

■ **WARNI
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The 7% flat tax and the €100,000 flat tax are **MUTUALLY EXCLUSIVE** — you cannot use both. For most American retirees with income under €300,000/year, the 7% regime is far more beneficial. For very high-income Americans (above €400k/year), the €100k flat tax may be better.

CHAPTER 8

US Retirement Accounts in Italy — 401(k), IRA, Roth

US retirement accounts — 401(k), Traditional IRA, and Roth IRA — create some of the most complex and potentially expensive tax situations for Americans in Italy. The Italian tax system does not recognize the tax-advantaged status of US retirement accounts in the same way the US does, creating potential for unexpected Italian tax liability.

Traditional IRA and 401(k) Distributions

Distributions from Traditional IRAs and 401(k)s are taxed as ordinary income in the US. Under the US-Italy tax treaty (Art. 18), private pension distributions are generally taxable in the country of residence. For an Italian resident, Italy has primary taxing rights on IRA/401(k) distributions.

The Foreign Tax Credit on Form 1116 provides the coordination mechanism: Italy taxes the distribution under IRPEF, and the Italian tax paid is credited against US tax liability on the same distribution. Since Italian IRPEF rates are often equal to or higher than US rates on the same income, this coordination generally works effectively.

The Roth IRA Problem

The Roth IRA is the most problematic US retirement account for Italian residents. In the US, qualified Roth distributions are completely tax-free. Italy does not recognize this tax-free treatment.

■ WARNING

Italy has never issued definitive guidance on the taxation of Roth IRA distributions. The current professional consensus is that Italy will treat Roth distributions as taxable income — either as a pension distribution (IRPEF) or as a capital distribution. Since you owe zero US tax on qualified Roth distributions, the Foreign Tax Credit does NOT help — there is no US tax liability against which to apply the Italian credit. This creates GENUINE double taxation on Roth funds for Italian residents.

Roth IRA Strategies for Pre-Move Planning

Take Roth distributions before establishing Italian residency

Roth distributions taken while you are still a US-only resident are tax-free in the US and outside Italian taxing jurisdiction. If you plan to move to Italy, consider drawing down Roth funds you will need before your anagrafe registration date.

Complete Roth conversions before Italian residency

Roth conversions (converting Traditional IRA to Roth) done while a US resident are taxable in the US but not in Italy. Once you are an Italian resident, a conversion may trigger Italian IRPEF on the conversion amount — making the conversion significantly more expensive.

Preserve Roth for post-Italy years

If you plan to eventually return to the US, keeping the Roth intact and drawing on other funds during Italian residence preserves the Roth's tax-free treatment for your US-resident years.

Required Minimum Distributions (RMDs) in Italy

RMDs from Traditional IRAs and 401(k)s starting at age 73 create mandatory taxable distributions that must be coordinated between the US and Italian systems. The RMD amount is fully taxable in both jurisdictions, with FTC providing the coordination. Importantly, Italian tax on RMDs is typically higher than US tax at the same income level — meaning the FTC fully offsets US liability and you effectively pay only Italian IRPEF on RMD income.

CHAPTER 9

FBAR and FATCA — Reporting Foreign Financial Accounts

Two of the most important US compliance obligations for Americans abroad involve reporting foreign financial accounts — not paying additional tax on them, just reporting them. The penalties for failure to report are severe and disproportionate to any tax owed.

FBAR — Foreign Bank Account Report

The FBAR (FinCEN Form 114) requires US persons to report foreign financial accounts to the Financial Crimes Enforcement Network (FinCEN) if the aggregate maximum value of all foreign accounts exceeds \$10,000 at any point during the calendar year.

Item	Details
Filing form	FinCEN Form 114 (not attached to tax return)
Filing system	BSA E-Filing System at bsaefiling.fincen.treas.gov
Deadline	April 15, with automatic extension to October 15
Threshold	\$10,000 aggregate maximum across ALL foreign accounts at any point in the year
What to report	Bank accounts, brokerage accounts, pension accounts (some), insurance with cash value, foreign m
Penalty (non-willful)	Up to \$10,000 per account per year
Penalty (willful violation)	Greater of \$100,000 or 50% of account value per year — CRIMINAL prosecution possible

■ WARNING

The \$10,000 threshold is cumulative across ALL accounts. If you have three Italian accounts worth €3,000 each, all three must be reported (total €9,000 — still below \$10,000, but if the accounts briefly held €11,000 combined at any point in the year, all must be reported for that year). Track your account balances throughout the year.

FATCA — Foreign Account Tax Compliance Act

FATCA (Form 8938, filed with your Form 1040) is a separate reporting requirement for specified foreign financial assets above higher thresholds. It is filed with your US tax return, unlike the FBAR which is filed separately.

Filing status	In US	Abroad (applies to you)
Single / MFS	> \$50,000 year-end OR > \$75,000 at any time	> \$200,000 year-end OR > \$300,000 at any time
MFJ	> \$100,000 year-end OR > \$150,000 at any time	> \$400,000 year-end OR > \$600,000 at any time

What FATCA (Form 8938) Covers

- Foreign bank and financial accounts (also reportable on FBAR — report on BOTH)
- Foreign stocks and securities
- Foreign partnership interests
- Foreign-issued life insurance with cash value
- Foreign pension plans (Italian TFR, fondi pensione)
- Interests in foreign entities (Italian SRL, etc.)

✓ PRO TIP

FBAR and FATCA are different forms with different thresholds and filed through different systems. Most Americans in Italy owe BOTH. They are not redundant — FBAR is law enforcement reporting to FinCEN, FATCA is tax reporting to the IRS. Compliance requires completing both annually.

Italian Bank Reporting to the IRS (FATCA from the Other Side)

Italy signed the FATCA intergovernmental agreement with the US in 2014. Italian banks and financial institutions are required to identify US-person account holders and report their account information to the Italian tax authority (Agenzia delle Entrate), which then forwards it to the IRS. This means: the IRS receives reports about your Italian accounts whether or not you file the FBAR. Failure to file the FBAR is noticed.

CHAPTER 10

Italian Property Taxes — IMU, IVIE, and Rental Income

Americans who own Italian property face specific Italian tax obligations beyond income tax. Understanding these before purchasing property prevents expensive surprises.

IMU — Imposta Municipale Propria

IMU is Italy's annual property tax on real estate owned in Italy. It is self-assessed — you calculate it, fill out the F24 form, and pay. No bill arrives automatically.

Property type	IMU treatment
Primary residence (prima casa) — non-EU/EEA	EXEMPT from IMU (your main Italian home where you are registered)
Second home / vacation property	Taxable at municipal rates (typically 0.76-1.06% of cadastral value)
Property owned by non-Italian resident	Taxable at standard rate — no primary residence exemption for non-residents
Luxury primary residence (A/1, A/8, A/9, A/10, A/11, A/12, A/13, A/14, A/15, A/16, A/17, A/18, A/19, A/20, A/21, A/22, A/23, A/24, A/25, A/26, A/27, A/28, A/29, A/30, A/31, A/32, A/33, A/34, A/35, A/36, A/37, A/38, A/39, A/40, A/41, A/42, A/43, A/44, A/45, A/46, A/47, A/48, A/49, A/50, A/51, A/52, A/53, A/54, A/55, A/56, A/57, A/58, A/59, A/60, A/61, A/62, A/63, A/64, A/65, A/66, A/67, A/68, A/69, A/70, A/71, A/72, A/73, A/74, A/75, A/76, A/77, A/78, A/79, A/80, A/81, A/82, A/83, A/84, A/85, A/86, A/87, A/88, A/89, A/90, A/91, A/92, A/93, A/94, A/95, A/96, A/97, A/98, A/99, A/100)	Taxable at standard rate — no primary residence exemption for non-residents

IMU Calculation Formula:

$IMU = Rendita\ catastale \times 1.05 \times 160\ (for\ residential) \times municipal\ rate$

Payment deadlines: June 16 (first installment, 50%) and December 16 (balance).

IVIE — Italian Wealth Tax on Foreign Real Estate

IVIE (Imposta sul Valore degli Immobili Esteri) is the Italian tax on real estate owned OUTSIDE Italy by Italian tax residents. If you are an Italian resident and own a home in the US, you owe IVIE.

- Rate: 0.76% of the property's foreign market value (or purchase price if market value unavailable)
- Deductible: Any foreign property tax paid on the same property (US property tax is deductible against IVIE)
- Exempt: If foreign property taxes paid exceed the IVIE amount, no net IVIE is due
- Reporting: Declared in the dichiarazione dei redditi, RW section

IVAFE — Italian Wealth Tax on Foreign Financial Assets

IVAFE (Imposta sul Valore delle Attività Finanziarie Estere) taxes Italian residents on the value of financial assets held abroad — US brokerage accounts, bank accounts, retirement accounts.

Rate: 0.2% per year on the average value of foreign financial assets.

Exemption: Assets under €5,000 average value are exempt.

NOTE

Americans using the €100,000 flat tax regime are EXEMPT from IVIE and IVAFE on assets in countries not excluded from their flat tax election. This is a significant additional benefit of the €100,000 regime for high-net-worth Americans.

Italian Rental Income — Cedolare Secca vs IRPEF

If you own Italian property and rent it out, rental income is taxable in Italy. You have two choices for Italian taxation:

Regime	Rate	How	Best when
Cedolare Secca	21% flat (or 10% for residential lease)	Flat rate on gross rent. No deductions. Replaces IRPEF and registration tax	When IRPEF rate is above 21% (which it is in most cases)
IRPEF ordinary	Your marginal IRPEF rate (23-43%)	Deduct (23-43%) of gross rent. Deductions for mortgage interest, etc. Low registration tax (2% annual)	When your marginal IRPEF rate is below 21% and you have significant deductible expenses

US Reporting of Italian Rental Income:

Italian rental income must be reported on your US Form 1040, Schedule E. Italian tax paid (cedolare secca or IRPEF) generates FTC on Form 1116 (passive category). The FTC coordination generally prevents double taxation on rental income effectively.

CHAPTER 11

The Italian Tax Return — Dichiarazione dei Redditi

Italian tax residents with income above the minimum threshold must file an annual Italian tax return. The process is more managed than the US system — Italy pre-populates much of the return with data it already has — but the deadlines and procedures require attention.

Which Form to Use

Modello 730

Who uses it: Employed workers and pensioners. Pre-populated by employer/pension data. Processed through employer or CAF (tax assistance center).

Deadline: **September 30 (through CAF/employer)**

Modello Redditi PF (formerly Unico)

Who uses it: Self-employed, those with complex income, non-residents with Italian income, and anyone with foreign income/assets.

Deadline: **November 30**

NOTE Americans in Italy with US income, US accounts, or US retirement accounts virtually always need the Modello Redditi PF — not the simpler Modello 730. The 730 cannot accommodate foreign income reporting (RW section for IVAFE/IVIE) or complex FTC calculations.

The RW Section — Foreign Assets Declaration

The RW section of the Modello Redditi PF is where you declare:

- All foreign financial accounts (bank accounts, brokerage, retirement accounts)
- Foreign real estate
- Foreign company interests
- The basis for IVAFE and IVIE calculations

The RW section is essentially Italy's equivalent of the FBAR — required disclosure of foreign financial holdings. Unlike the FBAR, the RW section is filed as part of your Italian tax return, not separately.

Italian Tax Payments — The F24 Form

Italian taxes are paid via the F24 form — a standardized payment voucher used for all Italian tax payments (IRPEF, IMU, IVAFE, contributions). The F24 can be paid at any Italian bank, online through Italian banking portals, or at post offices.

Acconto and Saldo — Advance and Balance Payments:

- June 30: First advance payment (acconto) — 40% of prior year's IRPEF
- November 30: Second advance payment — 60% of prior year's IRPEF
- Filing deadline: November 30 — balance due (saldo) or refund claimed

CHAPTER 12

Finding Your Commercialista — The Right Advisor

A commercialista is an Italian chartered accountant — the professional who prepares and files your Italian tax return and advises on Italian tax matters. For Americans in Italy, you need a very specific type of commercialista: one who has experience with US-Italy cross-border taxation, understands the FTC framework, and ideally speaks English.

What You Actually Need

Standard Italian commercialisti handle Italian taxes for Italian clients. Your situation is different: you have US filing obligations, FBAR, FATCA, FTC calculations, treaty positions, and potentially IVAFE/IVIE on substantial foreign assets. Not every commercialista has this experience — ask directly.

Questions to Ask Before Hiring

- Do you have experience with clients who are US citizens living in Italy?
- Can you prepare or coordinate the Italian Modello Redditi PF AND advise on the US Form 1116 FTC?
- Are you familiar with the US-Italy tax treaty (1999) and its Savings Clause?
- Do you have experience with IVAFE and IVIE calculations for US account holders?
- Do you work with a US-based CPA for clients who need both filings coordinated?
- What is your fee structure for Americans with US income and Italian residency?

Finding English-Speaking Commercialisti

- AmCham Italy (American Chamber of Commerce in Italy) — publishes lists of professionals with US experience
- Americans in Italy expat Facebook groups — first-person referrals from other Americans
- US Embassy Rome American Citizens Services — non-endorsed list of English-speaking tax professionals
- Searching "commercialista americani Milano" (or your city) — some specialize in this demographic
- International accounting networks (BDO, Deloitte Italy) — for complex/high-net-worth situations

**✓ PRO
TIP**

The ideal setup for most Americans in Italy: an Italian commercialista who handles the Italian return and advises on Italian tax matters, coordinating with a US CPA (or enrolled agent) who handles the US return. Many specialize in exactly this combination. Expect to pay €500-2,000/year for Italian filings and \$500-2,500/year for US expat filings depending on complexity.

APPENDIX A

Italian Tax Year Calendar — Every Deadline

Month	Deadline / Event	Form / Action
January	Begin gathering documents for previous year filing	Collect bank statements, brokerage 1099s, Italian income summary
February 28	CU (Certificazione Unica) issued by Italian employer	Verify income stated matches your records
March-April	US Tax Return deadline	Form 1040 — April 15 (June 15 extension for overseas filers)
April 15	FBAR deadline (auto-extends to Oct 15)	FinCEN Form 114 — file at bsaefiling.fincen.treas.gov
June 16	IMU first installment	F24 form — 50% of annual IMU on non-primary Italian properties
June 30	Italian advance payment 1 (40% of prior year)	F24 — IRPEF acconto first installment
June 30	€100,000 flat tax annual payment (if applicable)	F24 — flat tax regime payment
September 30	Modello 730 filing deadline (if applicable)	Through CAF or employer
October 15	FBAR extended deadline	FinCEN Form 114 extended filing
November 30	Modello Redditi PF filing deadline	Italian income tax return — full filing with RW section
November 30	Italian advance payment 2 (60% of prior year)	F24 — IRPEF acconto second installment
November 30	Balance payment (saldo) if tax owed	F24 — final settlement of prior year Italian taxes
December 16	IMU second installment (balance)	F24 — remaining IMU for the year
Year-round	IVAFE/IVIE — included in Modello Redditi PF	Reported and paid with annual return

APPENDIX B

Key Italian Tax Terms Glossary

Term	Definition
IRPEF	Imposta sul Reddito delle Persone Fisiche — Italian personal income tax (23-43%)
IMU	Imposta Municipale Propria — annual Italian property tax on owned real estate
IVAFE	Imposta sul Valore delle Attività Finanziarie Estere — 0.2% annual tax on foreign financial assets held by Italian residents
IVIE	Imposta sul Valore degli Immobili Esteri — 0.76% annual tax on foreign real estate held by Italian residents
Modello 730	Simplified Italian tax return for employees and pensioners
Modello Redditi PF	Full Italian personal income tax return (formerly Unico) — required for complex situations including foreign income
F24	Standardized Italian tax payment form used for all tax payments
Acconto	Advance tax payment — two installments in June (40%) and November (60%)
Saldo	Tax balance — final payment due at filing, or refund claimed
Commercialista	Italian chartered accountant
Agenzia delle Entrate	Italian Revenue Agency — equivalent of the IRS
Codice Fiscale	Italian tax identification number — 16 characters
Partita IVA	Italian VAT number for self-employed workers and businesses
Cedolare secca	Optional flat-rate tax (21% or 10%) on Italian rental income, replacing IRPEF on rents
Dichiarazione dei Redditi	Annual Italian tax declaration (return)
Residenza	Official registered address in Italy (anagrafe registration)

AIRE	Anagrafe degli Italiani Residenti all'Estero — registry of Italians living abroad
RW Section	Section of Modello Redditi PF where foreign assets are declared (IVAFE, IVIE)
Rendita catastale	Cadastral income value of Italian property — basis for IMU and some other calculations
CU (Certificazione Unica)	Annual income certificate issued by Italian employer — equivalent of W-2
TFR	Trattamento di Fine Rapporto — Italian employee severance fund
Detrazione	Tax credit reducing Italian tax liability
Deduzione	Tax deduction reducing Italian taxable income
CAF	Centro di Assistenza Fiscale — Italian tax assistance center that helps file returns

APPENDIX C

IRPEF Rate Tables 2025 — With Regional Examples

Taxable income	Marginal rate	IRPEF on bracket	Total IRPEF	Effective rate
€0 – €5,000	23%	€1,150	€1,150	23.0%
€5,001 – €10,000	23%	€1,150	€2,300	23.0%
€10,001 – €15,000	23%	€1,150	€3,450	23.0%
€15,001 – €20,000	23%	€1,150	€4,600	23.0%
€20,001 – €25,000	23%	€1,150	€5,750	23.0%
€25,001 – €28,000	23%	€690	€6,440	23.0%
€28,001 – €35,000	35%	€2,450	€8,890	25.4%
€35,001 – €40,000	35%	€1,750	€10,640	26.6%
€40,001 – €45,000	35%	€1,750	€12,390	27.5%
€45,001 – €50,000	35%	€1,750	€14,140	28.3%
€50,001 – €60,000	43%	€4,300	€18,440	30.7%
€60,001 – €75,000	43%	€6,450	€24,890	33.2%
€75,001 – €100,000	43%	€10,750	€35,640	35.6%
€100,001 – €150,000	43%	€21,500	€57,140	38.1%
€150,001+	43%	43% on excess	—	Approaches 43%

Table shows national IRPEF only. Add regional surcharge (avg 1.5-2%) and municipal surcharge (avg 0.4%) for total effective rate.

About This Guide

This guide was written by Fabrizio Boggio, Editor-in-Chief of Italopedia.com, from Piedmont, Italy, and reviewed with an Italian commercialista with US client experience. Tax law changes annually — verify all figures with a qualified advisor for your tax year.

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